

VERSION NO. 1	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 5.01
	DOCUMENT NAME BUDGET MANAGEMENT	REVISION NO. 0
		EFFECTIVITY DATE SEPTEMBER 2, 2019
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1.0 OBJECTIVES

- 1.1 To provide guidelines and procedures in monitoring, accounting and reporting of the budget.
- 1.2 To ensure that proper and adequate monitoring strategies are in place.

2.0 SCOPE

This manual provides standards, policies, guidelines and procedures in monitoring, accounting and reporting of the budget in the financial statements of Leyte Normal University.

3.0 POLICIES

- 3.1 It is the declared policy of the State that all resources of the government shall be managed, expended or utilized in accordance with laws and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned. (Sec. 2, P.D. No. 1445)
 - 3.2 No money shall be paid out of any public treasury or depository except in pursuance of an appropriation law or other specific statutory authority.
 - 3.3 All laws and regulations applicable to financial transactions shall be faithfully adhered to.
 - 3.4 No obligation shall be certified to accounts payable unless the obligation is founded on a valid claim that is properly supported by sufficient evidence and unless there is proper authority for its incurrence. Any certification for a non-existent or fictitious obligation and/or creditor shall be considered void. The certifying official shall be dismissed from the service, without prejudice to criminal prosecution under the provisions of the Revised Penal Code. Any payment made under such certification shall be illegal and every official authorizing or making such payment, or taking part therein or receiving such payment, shall be jointly and severally liable to government for the full amount so paid or received. (Book VI, Section 41 of EO No. 292)
 - 3.5 The University President shall not incur nor authorize the incurrence of expenditures or obligations in excess of allotments released by the DBM Secretary for their respective departments, offices and agencies. Parties responsible for the incurrence of overdrafts shall be held personally liable therefor. (Book VI, Chapter 5, Section 41 of EO No. 292)
- Any record, which may contain personal information, shall be handled in accordance with R.A. 10173 or the Data Privacy Act of 2012.
- 3.6 Any request for information shall be governed by E.O. No. 2, series of 2016 or the Freedom of Information Policy

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4.0 PROCEDURES

4.1 Recording Appropriations and Allotments

Responsibility	Activity
Budget Officer	1. Receives the General Appropriation Act (GAA) and the allotment release documents from the Department of Budget and Management (DBM).
	2. Records the appropriations and allotments in the appropriate columns of the Registry of Appropriations and Allotments (RAPAL) and the Registry of Allotments, Obligations and Disbursements (RAOD). Note: The amount of allotment should not exceed the authorized appropriations in the GAA. If the allotment exceeds the appropriation, appropriate actions should be taken.

4.2 Recording Obligation

Responsibility	Activity
Accounting Staff -3	1. Gathers Supporting Documents (SDs) to initiate the payment of claims. Forwards the SDs to the Budget Office for processing.
Budget Officer	2. Receives the Supporting Documents (SDs) from the Accounting Office Staff including copies of DV/Payroll, Contract/Purchase Order (PO) and other SDs.
	3. Verifies availability of allotment based on the appropriate RAOD. If allotment is not available, returns the documents to the Accounting Office staff.
	4. Prepares the Obligation Request and Status (ORS) in two copies.
	5. If allotment is available, assigns number on the ORS/ Budget Utilization Request and Status (BURS) based on the Control Logbook maintained for the purpose. Records the amount obligated based on the ORS in the 'Obligation' column of the RAOD.
	6. Reviews the ORS and SDs. If in order, signs the certification in Section B of the ORS.

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	7. Forwards the ORS and SDs to the Accounting Office for processing of the claim. Retains original copy of the ORS for maintenance/monitoring of obligation status.
Accounting Staff-3	8. Receives Copies of SDs and Copies 2-3 of ORS/BURS from the Budget Office. Checks completeness of SDs based on the checklist. If incomplete, returns to the party concerned for compliance. If complete, prepares Disbursement Voucher (DV) in four copies. Note – Copy 1 of the ORS/BURS shall be retained by the Budget Office, which shall serve as the subsidiary ledger of obligations.

4.3 Monitoring Budget, Utilizations and Disbursements charged to Retained Income, Revolving Funds and Trust Receipts/Custodial Funds

Responsibility	Activity
Budget Officer	1. Receives the approved budget (AB) from the concerned entity official. Records the same in the appropriate Registry of Budget, Utilization and Disbursements (RBUD).
	2. Records the AB in the 'Budgeted Amount' column of the RBUD and forwards copies of the budget documents to the Accounting Office for reference.
Accounting Staff-3	3. Receives the budget documents from the Budget Office.
	<u>Posting of Utilization</u>
Accounting Staff-3	4. Gathers Supporting Documents (SDs) to initiate the payment of claims. Forwards the SDs to the Budget Office for processing.
Budget Officer	5. Receives the Supporting Documents (SDs) from the Accounting Office Staff including copies of DV/Payroll, Contract/Purchase Order (PO) and other SDs.
	6. Verifies availability of allotment based on the appropriate RBUD. If allotment is not available, returns the documents to the Accounting Office staff.
	7. If budget is available, assigns number on the BURS based on the Control Logbook maintained for the purpose. Records the amount utilized based on the BURS in the 'Utilization' column of the RBUD

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	8. Reviews the BURS and SDs. Signs the certification in Section B of the BURS.
Accounting Staff-3	9. Receives Copies of BURS and SDs from Budget Office for processing of claim.

5.0 LIST OF FORMS

- 5.1 Obligation Request and Status (ORS)
- 5.2 Budget Utilization Request and Status (BURS)
- 5.3 Disbursement Voucher (DV)
- 5.4 Purchase Order (PO)